Phase I −− Predicting individual excess returns with the cycle factor

Country	cf (2Y)	R2 (2Y)	cf (5Y)	R2 (5Y)	cf (10Y)	R2 (10Y)
Belgium	0.83 (4.86)	0.275	1.16 (4.66)	0.304	1.01 (3.98)	0.254
Germany	0.76 (3.81)	0.210	1.19 (4.24)	0.270	1.05 (3.82)	0.230
France	0.60 (2.61)	0.062	1.19 (4.10)	0.136	1.21 (4.76)	0.150
Italy	0.81 (3.83)	0.315	1.15 (4.03)	0.276	1.04 (3.90)	0.230
Netherlands	0.79 (4.75)	0.304	1.18 (5.45)	0.357	1.03 (4.53)	0.282
Switzerland	0.62 (1.03)	0.040	1.33 (1.96)	0.093	1.05 (1.62)	0.059
UK	0.74 (3.70)	0.202	1.19 (4.26)	0.271	1.07 (3.60)	0.230
Sweden	0.85 (3.94)	0.247	1.10 (3.39)	0.220	1.05 (3.28)	0.209
Canada	0.87 (3.94)	0.278	1.14 (4.57)	0.324	0.99 (3.82)	0.277
Japan	0.58 (1.96)	0.126	1.23 (2.60)	0.167	1.19 (3.20)	0.202
US	0.76 (3.39)	0.239	1.14 (4.37)	0.317	1.10 (5.25)	0.349
G10 panel	0.78 (14.49)	0.256	1.16 (17.39)	0.273	1.06 (15.53)	0.244

LHS: duration−standardized individual excess return rx^(n)/n, n in {2,5,10} years; regressor: the local cycle factor CF (Eq 18).
Cells: cf loading (Newey−West HAC t−stat, 12m overlap); R2 is the in−sample fit. 'G10 panel' adds country fixed effects.
Mirrors Cieslak−Povala (2015), Table 4, Panel A: a single factor prices the whole curve, with loadings flat−to−rising in maturity.